2 Katy invests £200 000 in a savings account for 4 years.
The account pays compound interest at a rate of 1.5% per annum.

Calculate the total amount of interest Katy will get at the end of 4 years.

Annual multiplier = 1.015

1 mark
Annual multiplier 1.015.

Amount = $200\,000 \times 1.015^4$

1 mark
Compound over 4 years.

Interest = 212 272.71 – 200 000

= £12 272.71

1 mark
Interest £12,272.71.

£ 12 272.71

(Total for Question 2 is 3 marks)